



Guidance Notes for Selecting and Using External Investigators in the Disability Market August, 2004.

Foreword

The selection and management of external investigators is not an exact science and for many years the industry relied solely upon experience and shared knowledge on an ad hoc basis. However, many years ago the Health Claims Forum convened an industry working party made up of senior claims managers and a small number of reputable investigation companies in order to create a framework for good practice. As a result of this combined effort, a "Best Practice Guidance" document was issued to all members of the Health Claims Forum and this has been recognised as an extremely useful management tool in helping claims departments maintain high standards in the selection and use of external investigators.

Since the original guidance notes were issued, there have been changes in legislation and working practices that have created a situation where we felt it might be helpful to revisit this piece of work and update it to meet the needs of today.

With the kind permission of the Health Claims Forum, DISPA have created the enclosed document, which has been reviewed and endorsed by the HCF as a worthy successor to the original document. Additional copies can be obtained from the respective secretaries of DISPA or the Health Claims Forum.

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Part A - Principles for selection of Investigators

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Section 1 - How to Choose your Private Investigator

1.1. Finding an Investigator

There are said to be more than 2500 firms of private investigators operating today in the United Kingdom. There are professional publications listing investigators regionally, such as the Institute of Professional Investigators, and the Association of British Investigators. There are, however, a relatively small number of agencies that provide their services exclusively to the insurance industry, and even fewer that specialise in Income Protection (IP).

Insurers would be well advised to use the recommendation of their reinsurers, or colleagues in the industry when choosing an investigator, as there is little to compare with market knowledge and reputation.

Depending on the volume of business you intend transacting with an investigator, it may be appropriate to select more than one investigator, and work towards building stable relationships with them. You will find that established relationships provide a basis for stability and a mutual understanding of working practises and requirements will improve your chances of successful outcomes.

1.2. References

When considering the appointment of investigators, consider whether they have experience in the investigation of IP claims. If they claim to have such experience, it would be worth asking how long they have worked in the market. Ask how long they have been trading as investigators, and specifically if they can provide references from other insurers, and then refer to those insurers to check out their previous work.

This is a vital part of the selection process. Insurers will generally be inundated with marketing literature from investigators. Many investigators will also be involved in process serving, vehicle repossession, and other activities totally unconnected with claim investigations, and as such insurers are at risk of them not fully understanding what is required from the investigation.

1.3. Legislation

Reputable investigators will be keen to demonstrate that they are aware of legislative issues that control the way in which they can fulfil the requirements of their investigations. They should:-

- 1.3.1 Be registered under the Data Protection Act as Data Controllers. They should readily produce a copy of their registration certificate.

- 1.3.2 Demonstrate a knowledge of the Human Rights Act, and the limitations it imposes on the way in which surveillance and in particular covert filming is undertaken.
- 1.3.3 Understand the implications of the Protection from Harassment Act 1997 for the purposes of investigations.
- 1.3.4 Be prepared to give undertakings that neither they, nor their operatives have criminal convictions. (Investigators should understand the importance of this issue as their work could lead them into Court to give evidence on your behalf, and discovery of their own previous criminal activity could easily undermine the value of your case at litigation).
- 1.3.5 Investigators should all carry Professional Indemnity Insurance, ideally providing a sum assured of £1m and ensure that all operatives carrying out your work on their behalf are covered under that policy. They should be happy to provide a copy of their Certificate of Insurance at your request. They should also carry the usual Employers Liability and Public Liability insurance cover.

1.4. Operational Methods

It is important to know and understand what operational methods are employed by your investigators. For example, it is important to know that for all your investigations, at least 2 operatives are engaged in the surveillance, and that you are made aware from the outset if it is the investigators' practise to sub-contract work to other investigation agencies. Other operational questions you should ask include:-

- 1.4.1 What is the experience and qualifications of their principal staff?
- 1.4.2 What checks does the investigating company carry out on their own staff prior to recruitment?
- 1.4.3 Do they sub-contract? If so, how do they monitor the performance of their sub-contractors, and are such sub-contractors covered by Professional Indemnity insurance?
- 1.4.4 Can they provide specimens of their reports? If so, are they up to your required standard?
- 1.4.5 Do they use pretexts for the purposes of gathering information? If so, are you satisfied that they understand the difference between enquiries and entrapment? See section 7.2.
- 1.4.6 What is the extent of the area of their operation? Can they operate in difficult areas, (such as Northern Ireland).
- 1.4.7 What is the extent of their ability to provide services on an international basis, and the cost implications of doing so?

- 1.4.8 Have they ever given evidence in Court or at a tribunal hearing in connection with an investigated disability claim? It may be worth remembering that any evidence required to be given in your case, may not be heard for several years after the date of the evidence. You should ask your investigators what they do to ensure that evidence can be supported so far after the date of the investigation.
- 1.4.9 It is important to establish from your investigators, what steps they take to:-
- i. Maintain the chain of evidence.
 - ii. Secure the storage of original video recordings.
 - iii. Keep and store the original paper files & contemporaneous notes, and for how long are they kept?
 - iv. Safely dispose of original paper files at the appropriate time.

1.5. Performance & Equipment

It is important to establish guidelines with your investigator, and ensure that they understand your expectations in respect of turnaround times, report formats and the focus of the investigation they are undertaking.

It will be helpful if you understand that your investigators will probably tend to group cases geographically, (unless their area of operation is restricted to one region), and on that basis, the scheduling and programming of cases is best done well in advance. This makes scheduling “urgent” or very short notice work extremely difficult for the investigators, because it will usually mean that another case is postponed behind your urgent one. For this reason, as much advance warning of an impending investigation will help your relationship with your appointed investigators, and sufficient notice will enable them to carefully schedule, select and deploy the best operational “fit” in terms of personnel, vehicles, and equipment to your investigation.

Ultimately, a positive identification that identifies the subject of the investigation as your claimant is an important requirement. You should discuss with your investigator the methodology used to positively identify the claimant.

You should also be aware of what technology your investigators use. Commonplace today, investigators use:-

- 1.5.1 Different vehicles, a tail car, and a surveillance van, for example.
- 1.5.2 Do they use, or have access to specialised vehicles for tailing, for example a motor cycle and rider for town centres, black London cab etc?
- 1.5.3 What camera or audio recording equipment is used, for example, standard camcorders, concealed cameras, (if so, are all team members provided with cameras)?

- 1.5.4 What technology is used for recording still images, (say for identification purposes), and how are the images presented?
- 1.5.5 How do their operatives communicate between each other operationally?
- 1.5.6 Do you have a choice of format for the final edited version of your evidence to be produced, (ie VHS, CD-R or DVD)?

1.6. Price

All insurers will be conscious of the fact that price is a sensitive issue, as the cost of investigations these days is significant. These costs have increased with the requirement for a significant weight of evidence before claims managers are able to terminate a claim where evidence has been produced.

Factors to be aware of when considering the price of investigations are:-

- 1.6.1 Does the price quoted, (normally per hour or per day) include disbursement, such as hotel accommodation, food etc?
- 1.6.2 Does the quoted price include travel between the investigators office and the address at which the investigation is to be carried out?
- 1.6.3 Is a surcharge applied to the price for work carried out during weekends and bank holidays?
- 1.6.4 You can ordinarily expect to be quoted a price net of VAT.

1.7. Reviews

It makes a great deal of sense to encourage dialogue between your investigators and your claims assessors. This is best done in the form of review meetings, to be held at suitable intervals depending on the amount of business that passes between you.

Meetings such as this enable:-

- 1.7.1 Insurers to ensure consistency in the standard of work.
- 1.7.2 Mutual understanding of what is required, and resulting confidence in your investigators work.
- 1.7.3 Quality and layout of reports can be discussed, and improved as required to your specific requirements.
- 1.7.4 Investigators to receive feedback on cases, which helps them feel part of the insurers' team.

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Section 2 - Contracts & Agreements

2.1 Outline & Necessity

It is suggested best practice to have in place some kind of formal agreement with your investigators. However, some insurers may be satisfied that their investigators agree to be bound by their own Code of Conduct. It is becoming good practice to make more formal arrangements, particularly where regular or volume use of investigation services is envisaged. Reputable investigators will have a standard agreement available, but please refer to section 2.2 of this paper for further information.

In whichever form, the presence of formal arrangements has the following advantages:-

- 2.1.1 It protects the insurer from both financial liability in the event of them being sued, and mitigates reputational risk.
- 2.1.2 It covers the unlikely event of dishonest investigators or those utilising unscrupulous methods that may otherwise appear to have been condoned by the insurer.
- 2.1.3 It provides guidelines for the security of documents and information.
- 2.1.4 It forms a basis for recovering damages against the investigator in the worst case scenario.
- 2.1.5 It provides certainty as to the extent of the investigators remit and the basis of their remuneration.
- 2.1.6 It should formalise the requirement for the investigator to provide factual reports, based on objective evidence, and avoiding conjecture or supposition.

2.2 Onus & Responsibility

Not all investigators will have an “off the shelf” agreement, and in most cases, insurers will want their own Legal Department to draw up an agreement that is specific and meets the requirements of their own organisation.

The responsibility is that of the instructing insurers to suggest a format and wording for the agreement between the parties, and the investigators will only sign the agreement if they undertake to be bound by its terms and conditions.

Frequent users of investigation services may have specimen agreements that they have developed over the years and they may be prepared to share their documentation with you.

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Section 3 - Code of Conduct

3.1 Definition

As mentioned in paragraph 2.2 above, a Code of Conduct is normally part of the terms of trade to which an investigator self-reports to adhere to, and thus is less protective than a formal contract. In certain cases, this is sufficient and acceptable to some insurers. Best practice would contest this, and recommend that formal agreements are put in place between insurers, and their appointed investigators. The formal definition of a Code of Conduct is:-

“A set of conventional principles and expectations that are considered binding on any person who is a member of a particular group”.

3.2 Construction

A Code Of Conduct is generally constructed as a document that incorporates a Mission Statement, and goes on to outline the operational undertakings of the investigators. If a Code of Conduct is to be relied upon, it is thought that at very least, the following should be fundamental requirements:-

- 3.2.1 Staff should be capable of doing the job, and acting honestly and professionally in their endeavours.
- 3.2.2 People with criminal records will not be employed.
- 3.2.3 The investigators will not allow or condone any activity of an unethical, unscrupulous, or illegal nature.
- 3.2.4 Pretext enquiries are acceptable, provided that there is no encouragement to undertake something illegal, criminal, or something that the policyholder/claimant would not otherwise do.
- 3.2.5 That under pretext, there is no incentive so as to encourage the policyholder/claimant to act out of character. (See section 11.3, Managing the Outcomes).
- 3.2.6 That any pretext carried out will be designed so as to avoid causing distress, harassment, or enticement to a claimant, or any member of his/her family.
- 3.2.7 That if an investigator is approached by a claimant, they will act courteously and correctly.
- 3.2.8 There should also be a statement concerning confidentiality and security of records, and an undertaking to record and use data in accordance with the Data Protection Act.

3.3 Summary

A carefully worded Code of Conduct, whilst not ideal, nor binding, is potentially a document of sufficient substance to safely instruct an investigator, if accepted by the insurer as their preference.

Part B - Instructing a Private Investigator

- Section 4. Objectives.
- Section 5. Standards of Performance
- Section 6. How Should the Insurer Brief the Private Investigator?
- Section 7. Pretext Enquiries
- Section 8. Investigations carried out by the Insurer
- Section 9. Summary

Section 4 - Objectives

- 4.1 It should not be assumed that the private investigator knows precisely what your objectives are. Instructing clients should inform the investigator at the outset of the working relationship, or on a case-by-case basis, precisely what is expected from the investigative process.

Examples of the outcomes sought might include the following:

- 4.1.1 To determine whether or not the claimant is carrying out any work related activities.
- 4.2.2. To determine whether or not the claimant exceeds his or her stated physical limitations.
- 4.2.3 To determine the validity of the claim.

Section 5 - Standards of Performance

The insurer should satisfy themselves that the private investigator works within minimum Standards of Performance that are acceptable to the insurer.

If the investigation company you contemplate using, issues their staff with Standard Operational Procedures, you should obtain a copy of that document.

Minimum Standards of Performance that insurers negotiate with the private investigator should include the following:

5.1 Contemporaneous Notes

The final report that is sent to you is a summary compiled from observations made by each of the individual investigators engaged on that particular assignment. You should seek assurances that each investigator compiles a report of their own specific observations as soon as practical after each event that they witness in order that the rules regarding best evidence are maintained. These contemporaneous notes are often referred to as a 'surveillance log' that should be retained in order to support the report at a later date if required.

5.2 Report

- 5.2.1 The final report should be in chronological order (date, time, event).

5.2.2 All reports should be entirely factual without supposition or conjecture.

5.2.3 Depending upon the amount of activity observed during an investigation, reports can be extremely lengthy. Insurers should expect a conclusion at the beginning of the report providing a summary of how the evidence obtained compared with the objectives set out in Section 4 above.

5.2.4 The investigator should not make any recommendations as to the validity of the claim based on their observations. Their task should be confined to describing the events they have observed in a factual format.

5.3 Original Video/Audio Cassettes

The original video/audio tapes used should be new and unused.

5.4 Storage of Evidence

All original evidence (surveillance logs, video/audio cassettes) should be kept in a secure location. Lockable fireproof cabinets should be used as a minimum.

Section 6 - How Should the Insurer Brief the Private Investigator

Investigation agencies that specialise in assisting IP insurers will normally have an instruction form that they will ask you to complete. Whilst you can choose your own method of instruction, these forms have probably evolved over many years and ask the questions that, from their experience, will provide the investigators with the information they need in order to achieve your objectives. In any event, the information that will help them complete their task will include the following:

6.1 A summary of the claim including its history and the current position.

6.2 Claimant Details:

Full name (including nickname if known)

Address

Home telephone number

Date of birth

Nationality/ethnic origin

Photograph of Claimant (wherever possible)

Marital status

Domestic circumstances (children and/or other household occupants)

Detailed Description (if known) including any distinguishing features

Date last worked

Known hobbies/pastimes

Description (and registration numbers) of any vehicles

Anything known of claimant's daily routine

Pre-disability income (to compare with current lifestyle indicators/standard of living)

Definition of Incapacity

6.3 Employment

6.3.1 Employed

Name and location of employer together with job title and nature of their work. A written or formal job description is a useful document if it is available.

6.3.2 Self Employed

Trading name and address (including telephone numbers) together with a brief description of the nature of the business.

6.4 Support Documentation (where available)

Experienced investigators working in the field of IP claims can often identify information from the claim file that an assessor or claims manager might not appreciate the relevance of in respect of investigating the claim. Where available, providing investigators with the following support documentation could assist the investigation and the quality of the results you achieve from it:

Passport (or other) photograph
Latest Claim Review Form
Home visit report
Relevant extracts from latest medical reports

6.5 Previous Investigations

Details concerning the dates and outcomes of any previous investigations carried out in respect of the claim in question can assist in the management of an investigation. For example, if the claimant is aware that a previous investigation has taken place, he or she is more likely to be more alert to the possibility of further surveillance than someone who is previously unaware.

6.6 Level of Investigation

It costs the same to investigate a high value claim as it does to investigate a low value claim. However, you might want to impose budget restrictions on the investigation and this will have a direct impact upon the level of investigation available to you. It is now common practice for investigators that specialise in IP claims to have relatively fixed fee levels for different levels of service. If you are not sure what level of investigation you require in order to achieve your particular objectives then it might help to discuss all the relevant issues with the investigator before sending out instructions.

6.7 Video Evidence

The edited video evidence that you will receive from the investigation company will normally be a summary of evidence obtained taken from a number of different cameras for the length of time that the claimant has been observed. If you have any specific preference in respect of how you want the

edited video evidence presented to you, then you should stipulate this at the time of instruction. For example, some insurers want to see a short summary of the relevant outcomes of the surveillance exercise whilst others require a more lengthy version.

Section 7 - Pretext Enquiries

- 7.1 The objective of most investigations is to establish whether or not there is any ongoing working activity on the part of the claimant and/or to observe a claimant going about his or her normal daily routine in an effort to verify whether or not their level of activity and circumstances are consistent with the statements made in support of their claim. In general terms, the investigators will prefer to avoid making direct contact with a claimant. However, there are occasions when it will be reasonable in the circumstances for investigators to make enquiries under pretext in an effort to establish the following:

- 7.1.1 The identity of the claimant.
- 7.1.2 The whereabouts of a claimant at any given time.
- 7.1.3 To establish information concerning any work related activities that the claimant may be involved in.

7.2 Pretext Enquiries and The Human Rights Act

It has already been established in case law (Jones -v- University of Warwick (2003) and Martin -v- McGuinness (2003)) that pretext enquiries and surveillance are legitimate tools used by Investigators (even when carried out at the claimant's home address) in an effort to verify the legitimacy of a claim. The results of surveillance and pretext enquiries will be admissible as evidence provided that the enquiries made and surveillance carried out were "reasonable and proportionate in the circumstances".

7.3 Basic Principles for Pretext Enquiries

Are you satisfied that your external investigators comply with the following basic principles when making pretext enquiries:

- 7.3.1 Not to use entrapment or ask the claimant to do anything that they would not normally do.
- 7.3.2 Not to purport to represent something that exists in reality. For example, investigators must not imply or state that they represent an official body (police, local authority etc), a business or organisation with which they are not connected etc.

Section 8 - Investigations carried out by the Insurer

As part of the claims management process, there are a number of research tools available directly to the insurer that can play an important part in the claim validation process. Examples include the following:

- 8.1 Access to major credit reference agency databases (like Equifax and Experian). Investigators may be able to conduct this research for you but, if they do, you must be aware that the claimant will become aware of the search carried out by the investigator in the event that they request copies of their file from the credit reference agency in question, because of the “footprint” that all search enquiries leave on an individual’s credit file. In order to keep the existence of an external investigation confidential whilst it is in progress it would be more prudent for the insurer to conduct this research themselves. Accessing these databases can help determine the following:
 - 8.1.1 Financial motive for a claim (i.e. history of financial difficulty relating to an individual and/or a business associated with them).
 - 8.1.2 Verify whether or not the claimant is known to be associated with the given home address.
 - 8.1.3 Whether or not the claimant has moved away from the given home address.
 - 8.1.4 Details of other persons living at the address with the claimant.
- 8.2 You should conduct a check against the ABI IP Claims Register. If there is another insurer involved, joint action and sharing of costs may be useful.
- 8.3 An overt visit to the claimant by an external Claims Visitor or from the insurer’s own staff.

Section 9 - Summary

Paying attention to detail at the instruction stage can greatly improve the cost benefit ratio of using external investigators. Taking the time to comprehensively instruct your investigators is likely to assist them with the overall quality of their work.

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Part C - What cases may be suitable for investigation?

Section 10 - Identifying cases

- 10.1 The claims assessor needs to carefully focus on those cases, which are suitable. The opportunities for the use of investigators are likely to be relatively infrequent and should be the result of specific targeting rather than as a matter of routine.

10.2 The following may be examples where reasonable suspicion has been raised which results in the use of a private investigator being considered:-

- 10.2.1 Information may come unsolicited and perhaps anonymously. Such contact should be regarded with suspicion as it may be vindictive in nature. However, clearly such information cannot and should not be ignored.
- 10.2.2 Many insurers have a process of keeping in touch with their claimants by telephone. If calls to the claimant go unanswered during normal business hours this may give cause for suspicion.
- 10.2.3 Returning calls outside of normal business hours may also raise suspicion as might defensive or evasive behaviour from other family members.
- 10.2.4 A Claims Visitor may have suspicions when undertaking a home visit. This may arise from the appearance or demeanour of the claimant or from conversation or physical signs such as tools, vehicles, computers or materials that could potentially be used for employment purposes.
- 10.2.5 A comment by a member of the medical profession may arouse suspicions. Indeed a minor condition taking substantially longer to resolve may, in itself, be of concern.
- 10.2.6 The claimant's occupation, by itself, is not a reason to instigate an investigation. However, it must be recognised that certain occupations allow a return to work, on a casual basis, far easier than others. Self employed tradesmen, IT specialists or those involved in small or family businesses are examples of such occupations.
- 10.2.7 All decisions to instruct investigators ought to provide a clear justification for initiating the instructions, which not only makes good business and file management sense, but also negates or helps to negate any accusations of harassment.

Part D – Managing the Outcomes

Section 11 – Outcomes and Conclusion

- 11.1 In order to know what cases might be suitable the Claims Assessor needs to consider what outcomes may arise.
- 11.2 The most usual desired outcome is clarification as to whether or not the claimant is working. It is unusual for information coming from surveillance to show the degree of incapacity that may exist, unless a claimant has given a detailed and succinct description of their disability or physical limitations.

11.3 Some additional thoughts that may be helpful:-

- 11.3.1 Video or other evidence determining whether or not the claimant is working is clearly one helpful outcome.
- 11.3.2 If working, this can be even more helpful if supported by physical evidence such as adverts offering services, invoices or receipts.
- 11.3.3 In obtaining this evidence care must be taken that no accusation of entrapment can be made by the claimant. (See Section 3.2, Code of Conduct Construction).

11.4 Other issues that need to be taken into account include:

- 11.4.1 The FOS, in their January 2003 edition of Ombudsman News, suggested that a single episode of surveillance may not be sufficient to convince them of the invalidity of a claim. They comment on the “good day” scenario whereby a claimant is able to do things on the day of surveillance that they may not be able to do on other or more normal days.
- 11.4.2 Evidence of symptom exaggeration may be helpful but on its own is unlikely to be compelling evidence of an ability to perform the claimant’s normal occupation. However, if the claim is wholly unfounded from the outset (i.e. fraudulent) then compelling evidence supporting the view that no symptoms exist can often be obtained by the use of surveillance, depending upon the nature of the alleged disability.
- 11.4.3 The FOS have also commented that it may well be difficult to allege that a particular task or movement that a claimant is able to perform whilst under surveillance is evidence that that task can be repeated in the workplace.
- 11.4.4 Once evidence is secured then it may be advantageous to obtain a further statement from the claimant confirming the details of his claim. For instance confirmation that he/she has not worked during the period in question nor continued to receive any income. A factual statement by the claimant will lead to the avoidance of any doubt and will be compelling evidence of the claimant’s intention to mislead his/her insurer, and thus the insurer’s decision to repudiate is likely to be upheld in a court of law.
- 11.4.5 Ultimately, a decision to repudiate a claim based upon evidence provided by your investigators can potentially be challenged at law. In such circumstances, your investigators will need to be able to prepare statements incorporating their contemporaneous notes and you should be satisfied of their ability to support this evidence in court.

Conclusion

This document has been carefully compiled by a panel of expert IP investigators and has been considered for accuracy by a solicitor specialising in representing Income Protection insurers.

Its contents have been endorsed by the Committee of the Health Claims Forum.

It has been produced in the interests of IP insurers, with the genuine intention of raising and maintaining standards amongst practitioners in this line of business.

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